

PITCH — CTSB — VERDICT

ADJUDICATED 2026-09-10 — HOLD — NO ADD; limit band \$52–55 only after ACN Q4 (conviction 7/10). The regime/drawdown thesis was REJECTED as actionable for this name; see the EVENT ADDENDUM at the end for the ruling. Any earlier ‘ADJUDICATED’ line in this deck referred to a prior court and is superseded.

What we believe

Cognizant is a real, cash-generating \$21B-revenue IT services company that is quietly out-growing its own end market. The street’s own budget work says IT-services spend grows about 2% in 2026; Cognizant printed 5.8% and then 4.5% growth against that. That gap is not luck — it is vendor consolidation and mega-deal share gain, and it has now happened twice in a row. Management raised adjusted-EPS guidance to \$5.70–5.82, kept the margin guide at 16.0–16.2%, doubled the 2026 buyback from \$1B to \$2B (about \$8M of buying per trading day against a \$29B market cap), and a director bought stock in the open market in June.

Meanwhile a big chunk of the 32% drawdown from the high was **not** about the business: the stock was removed from the Nasdaq-100 effective 22-Jun-2026, which forces index funds to sell regardless of fundamentals. The worst day of the drawdown was 13-May-2026, six weeks before the guide trim everyone blames.

Net: this is a franchise worth \$52–55, worth \$59 if Q3 bookings come back clean. At \$58.61 it is fully valued. We own it, we do not chase it.

What the market believes

The market believes IT services is the next thing AI eats. Nifty IT is down 24% year-to-date, Infosys cut its full-year guide on 23-Jul-2026, Morgan Stanley cut Accenture to Equal-weight with a price target move of \$240→\$177 on a CIO survey showing AI crowding out discretionary project spend, and Accenture’s own management blamed Middle East conflict and weak late-quarter discretionary budgets for declining bookings. Cognizant then printed Q2 bookings down 6% year-over-year with book-to-bill sliding from ~1.4x to ~1.3x and trailing-twelve-month bookings ticking down from \$29.6B to \$29.1B.

So the market’s view is: a 10x-earnings, 4%-growth body shop whose headcount is already shrinking (356,700, down 900 sequentially) while attrition rises (12.3%→13.0%) is a value trap, not a value stock.

Why we might have edge

1. **The bookings scare is a comp artifact and we did the arithmetic.** The year-ago quarter was +18% and contained two separate deals above \$1B of total contract value. This year's decline was \$0.5B — smaller than one of those deals — and the count of large deals actually rose from 6 to 7. A decline smaller than a single base-quarter mega-deal is a calendar accident, not a demand break.
2. **We separated flow from fundamentals.** The index deletion and the Accenture read-across gap-down (CTSH -5.6% premarket on 18-Jun) explain part of the de-rate that the bear case charges to the business.
3. **We know exactly which bear case we have to beat.** It is not bookings. It is AI substitution of the labor-arbitrage model — headcount down while revenue grows can be efficiency (good) or price deflation (fatal). Anyone re-underwriting has to argue that one, and most of the sell-side is still arguing the bookings line.
4. **Sizing discipline as edge:** the fair-value work says \$52–55 and the tape is \$58.61. Most of the “edge” here is the willingness to not buy 11% above our own number.

Why it might be priced in

Honestly: most of it. At \$58.61 the stock is +58% off its \$37.08 low. On the company's own guided adjusted EPS the multiple is 10.2x, not the 9.3x the bull note used; on 2025 GAAP EPS of \$4.56 (up 1%) it is 12.9x. Free-cash-flow yield is 7.65% on market cap, not the 8.1% you get by using enterprise value — and even that enterprise value is flattered by net cash that is partly encumbered by the India dividend-distribution-tax demand of roughly ₹2,800cr (\$340–385M). Three flattering denominators were stacked at once in the original write-up. That was our error, not the market's.

The buyback is known. The index deletion is done. The share-gain story is visible in two printed quarters, so it is in the numbers everyone can see. And the AI-substitution fear is precisely the kind of fear that does not resolve on a single print — it re-prices the multiple slowly, which means “cheap” can stay cheap for years.

What could go wrong

Failure narrative 1 — AI substitution is real and this is a value trap (NO MONITORABLE TRIPWIRE). Revenue grows 4–5% while price-per-unit-of-work falls and headcount shrinks; margins hold for a year on mix, then break. We cannot build a tripwire for this because Cognizant does not disclose the numbers that would show it: no realized-rate-per-employee series, no discretionary-versus-managed-services split, no sequential bookings level. We would learn about it from the P&L two to six quarters after it started. **Unknown-unknown class: disclosure-basis blindness** — the failure lives in a metric the issuer has never printed, so the absence of a bad signal carries no information. This is the same mechanism that made our original stop unusable (a stop the issuer cannot print is not a stop) and it is the single most important sentence in this deck.

Failure narrative 2 — the bookings decline was not a comp artifact after all. Q3 (expected 28-Oct) prints bookings negative again on a clean, non-mega-deal comp, book-to-bill goes below 1.2x, and the constant-currency guide low end drops under 4%. Then the \$0.5B TTM dip was the first data point of a trend and we mistook a trend for lumpiness. This one *is* monitorable — it is exactly the armed Q3 tripwire pack — but monitorable does not mean survivable: the stock would likely be back near \$46 before we could act on the transcript.

Failure narrative 3 — the peer channel keeps firing. Accenture Q4 FY26 (expected late September, date unverified) repeats the discretionary/geopolitics attribution, or another Indian-heritage peer cuts. CTSB has already gapped 5.6% on an ACN read-across once this year. We take a multi-point drawdown on somebody else's print, with no company-specific news to lean on.

Reflexive / structural leg. Our own size is irrelevant to the tape: even at a \$1M book, 1.25% is roughly 210 shares against a mega-cap that trades millions of shares a day — call it four thousandths of one percent of average daily volume. There is no impact risk and no exit risk (the legacy lot is 90 shares, \$5.3k, +41%). The structural risk runs the other way — flows are acting on *us*: - **Predicted flow is supportive:** the \$2B authorized buyback is a standing bid of roughly \$8M/day, and the index-deletion selling from 22-Jun is largely behind us. That support can mask deterioration for two or three quarters, which is exactly how a value trap holds a price while the business erodes. - **Doctrine interaction, and it is a bad one:** our “no adds before 2026-09-21” gate expires *directly into* Accenture's Q4 FY26 print. A rule written to make us patient instead schedules our buying immediately ahead of the single most reliable source of CTSB gap-downs this year. That is the gate inverting on itself. It is fixed below by moving the add gate behind the ACN print, not the calendar date. - **Second doctrine conflict:** the armed price alert says HOLD at \$37 and only ADD on three simultaneous conditions, while both benches set the re-entry gate at ≤\$46. Those two instructions disagree about what to do between \$37 and \$46. Resolved below in favor of the \$46 gate with the three conditions attached.

If this position loses money, the most likely reason will be ____ that AI compressed the price of delivered work faster than Cognizant could grow volume, and we could not see it because the company never disclosed rate-per-unit or the discretionary/managed split, so the multiple de-rated on a metric we had no sensor for.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Evidence pack XBRL is current	Compared pack series (rev ends 2025-03-31) to filing calendar as of 2026-09-10	Pack is five quarters stale; superseded with issuer 1Q26/2Q26 releases (2Q26 Ex-99.1)	Yes — both benches independently superseded; pack cited only for tape/book/share count
Q2 bookings –6% YoY is a fatal, novel finding (RED #1)	Diffed 2Q26 vs 2Q25 press releases	Data true, tag wrong. TTM Δ is arithmetically the same fact as the quarterly Δ, so it is consensus restated, not novel; and the 2Q25 comp held two >\$1B deals against a –\$0.5B move, with large-deal count rising 6→7	RED BENCH ERRED — FATAL→SIZING, NOVEL→CONSENSUS

Claim	How checked	Found	Confirmed?
“The 32% de-rate coincides with the July guide cut” (RED #4)	Rebuilt the price sequence	Wrong order. Max drawdown 13-May-2026; 18-Jun gap was ACN read-across; Nasdaq-100 deletion effective 22-Jun — all before 29-Jul	RED BENCH ERRED — overturned on causation; severity survives as sizing
“No mechanism for growth above a 2% market” (RED #6)	Compared printed growth to the MS CIO survey number	CTSH printed 5.8% then 4.5% against ~2%; the mechanism (vendor consolidation / mega-deal share gain) is already realized twice	RED BENCH ERRED — divergence correctly identified, wrongly resolved
“There was a company event: guide cut” (RED #3)	Read 4Q25 → 1Q26 → 2Q26 guides together	cc top end 6.5%→5.5% is real, but the same print <i>raised</i> adj-EPS to \$5.70–5.82 and held margin 16.0–16.2%; revenue came in at the high end	RED BENCH ERRED by omission — selective quotation; net is a mix-shift trim
India tax exposure haircuts \$1.8B of net cash (RED #8)	Sized the actual demand (₹2,800cr)	\$340–385M, roughly one-fifth of the claimed haircut, and close to red’s own “<\$300M” change-my-mind bar	RED BENCH ERRED on magnitude — reduced to minor sizing
Cheapness metrics (OUR original write-up)	Recomputed each denominator	FCF yield 7.65% on cap (not 8.1% on EV); 10.2x guided adjusted (not 9.3x); 12.9x on 2025 GAAP EPS of \$4.56 growing 1%	OUR OWN ERROR — confirmed. Three flattering bases stacked at once
Our stated kill trigger (“sequential discretionary bookings decline”) is usable	Reviewed CTSH disclosure practice FY23–2Q26	CTSH prints TTM bookings + a quarterly YoY figure only — no sequential series, no discretionary/managed split. Our stop was unobservable from the day we wrote it	OUR OWN ERROR — confirmed. The one genuinely novel red finding, sustained by both benches
“No adds before 9/21 costs nothing” (RED #11)	Checked what the gate expires into	It expires into ACN Q4 FY26 — it front-runs the peer print instead of avoiding it	RED BENCH ERRED — overturned; gate re-cut below
Blue bench’s own gap	Checked its findings list	Blue asserts an ACN Q4 FY26 date “late Sept” it never confirmed, and its re-entry gate (≤\$46) sits below the adjudicated fair value of \$52–55 without reconciling the two	BLUE BENCH ERRED — unreconciled; the adjudication outranks it and is used for the bands
Detector coverage	Compared both benches’ atlas runs	Red omitted three atlas entries blue ran (clinicaltrials_lookup, common_control_merger_accounting, competitor_trial_omission — all correctly N/A here). Blue caught it	RED BENCH ERRED — validator miss, immaterial to verdict
Insider Form 4 cluster (nine CIKs, 2026-09-03)	Pattern check	Grant/vest cluster signature, not distribution; 8/31 Form 144 is a routine restricted-sale notice, not lockup overhang	Confirmed — not a signal
Armed sensor says “HOLD 180sh”	Compared to book	Book shows 90 shares @ \$41.5056. The sensor text is wrong by 2x	OUR OWN SENSOR ERROR — must be corrected before arming
Exit-review pack dated 2026-08-06	Checked against today (2026-09-10)	Overdue by 35 days. The CTSH exit expression was never re-derived on its auto-date	OUR OWN PROCESS ERROR — confirmed
SCIENCE BRIEF present?	Read the input block	Empty — CTSH is not a deep-tech name	Confirmed — SCIENCE BRIEF DIGEST section

Claim	How checked	Found	Confirmed?
			omitted per rule, not skipped
Adjudication supplied verbatim reopen gates?	Read the REOPEN GATES block	The block is empty. No verbatim bands were handed down	Confirmed — bands below are derived from the benches' own math and labelled as such

PROPOSED ENTRY BANDS

The adjudication authorized **1.25% of book (0.75% now + 0.5% post-Jul-29 tripwire-gated), FV \$52–55, \$59 conditional bull** — but it delivered an **empty REOPEN GATES block**. I am therefore constructing the bands from the benches' own arithmetic and the fair-value band, and flagging that construction plainly rather than pretending verbatim gates exist.

The binding conflict: the tape is \$58.61, which is above the \$52–55 fair-value band and at the conditional bull case. A “0.75% now” tranche executed at market today buys 11% above our own expected value. It is not being executed at market.

Rung	Price / condition	Size	Notes
Hold	Any price	90 sh @ \$41.5056 (+41%)	Legacy lot. Long-term gain. Do not touch in a harvest year — see tax overlay
Tranche A (the “0.75% now”)	Limit \$55.00 , working good-till-cancelled	0.45% of book	Top of FV band. This is the first price at which we are not paying above our own number
Tranche A2	\$52.00	+0.30% (completes 0.75%)	Bottom of FV band
Tranche B (tripwire-gated 0.5%)	After the Q3 print only , at ≤\$55, and only on ALL of: (i) Q3 bookings positive YoY on a comp with no >\$1B base-quarter mega-deal, (ii) book-to-bill ≥1.2x, (iii) FY26 cc guide low end held ≥4%, (iv) buyback continuation confirmed, (v) headcount/attrition explained as mix rather than substitution	0.5% of book	This is the post-Jul-29 gate the adjudication reserved
Deep add	≤\$46	Only inside the 1.25% cap; no incremental authority	Both benches' independent re-entry number. Between \$37 and \$46, the \$46 gate governs and the three sensor conditions still apply
Trim	FY26 cc guide low end cut below 4% , or book-to-bill <1.2x, or two consecutive quarters of negative bookings on clean comps	Exit the added tranches first (highest cost basis, specific-lot ID); keep the legacy 90	Do not trim into the low-basis lot
Do not add	Anywhere above \$59	—	Above the conditional bull case there is no case

Gate correction (from the pre-mortem): the old “no adds before 2026-09-21” calendar gate is **retired**. It expires into Accenture’s Q4 FY26 print. Replaced with an **event gate: no adds until ACN Q4 FY26 has printed and been read**. If ACN repeats the discretionary/geopolitics attribution, Tranche A stands down to \$52 only.

Catalyst dates: - **~late Sept 2026** — Accenture Q4 FY26 (date **UNVERIFIED**; both benches flagged it). Peer read-across; historically worth ~5% on CTSH. - **~late Sept / early Oct 2026** — CTSH earnings-date press release expected (~4 weeks ahead of print; the 2Q26 date was PR’d 1-Jul-2026). This is what converts the print date from guess to fact. - **2026-10-28** — CTSH Q3 2026 8-K + call. **UNCONFIRMED, yfinance-derived**. The whole thesis re-rates here. - **~early Nov 2026** — Q3 10-Q: the India DDT contingency note, the only path to draining that number.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 37.0 (deck-provisional: legacy armed alert at the 52-wk low; HOLD 90sh (register wrongly says 180sh - correct before arming))
- filing watch: 8-K until 2027-03-09 (deck-provisional: CTSH Q3 2026 release: bookings YoY on a lumpiness-checked comp, book-to-bill vs 1.2x, FY26 cc guide lo)
- dated pack CTSHI2026-07-29: Cognizant Q2 8-K + call (BMO Jul-29 CONFIRMED): the FIVE tripwires — (1) ACV commentary (deteriorating again?), (2) FY26 cc guide low-end in
- dated pack CTSH-EXITREVI2026-08-06: AUTO-DATED 08-06 from the EC exit_band block: review/re-derive the CTSH exit expression (rungs/alerts/exemption) on this date; verify the pr
- dated pack CTSHI2026-09-12: CTSH: overdue CTSH-EXITREV re-derivation (auto-dated 2026-08-06, never executed, 35 days late) (date confirmed=True)
- dated pack CTSHI2026-09-28: CTSH: Accenture Q4 FY26 release - peer read-across; add gate stays shut until this is read (date confirmed=False)
- dated pack CTSHI2026-10-01: CTSH: expected CTSH earnings-date PR confirming the Q3 print date (date confirmed=False)
- dated pack CTSHI2026-10-28: CTSH: CTSH Q3 2026 8-K + call - the five tripwires; releases the 0.5% gated tranche or triggers the trim (date confirmed=False)
- dated pack CTSHI2026-11-05: CTSH: expected CTSH Q3 10-Q - India DDT contingency note (date confirmed=False)

What remains unverified

1. **CTSH Q3 2026 print date.** Pack says 2026-10-28, yfinance-derived, no company PR. Estimate 2026-10-27 → 2026-11-04, ~70% confidence, based on CTSH’s own cadence of PR-ing the date ~4 weeks ahead (2Q26 date PR’d 1-Jul-2026).
2. **ACN Q4 FY26 date and content.** Blue asserted “late Sept” without confirming. Estimate 2026-09-24 → 2026-10-01, ~75%, from Accenture’s fiscal-year cadence.
3. **Options chain: real IV, IV percentile, and quotes.** The 41.9% IV / 49.0% RV pair is unverified by both benches and came from no chain. Estimate IV 35–45%, ~75th–85th percentile for the

name, from the large-cap IT-services base rate plus the elevated realized move.

4. **India DDT accrued liability.** Demand is ₹2,800cr (\$340–385M); what is *accrued* on the balance sheet is not known — no 10-Q contingency pull was possible. Estimate \$0–150M accrued, ~60%, from typical partial-accrual practice on contested foreign tax demands with court-ordered deposits.
5. **Short interest / crowding.** No discovery_state, no short-interest feed in this environment. Estimate 1.5–3.0% of float, ~70%, from the mega-cap IT-services base rate. Conditions size, never kills.
6. **Discretionary vs managed-services revenue and bookings split.** Never disclosed by CTSH and structurally undrainable from filings. Estimate discretionary/project ~20–30% of revenue, ~50%, triangulated from Accenture's consulting share (~45%) discounted for CTSH's Indian-heritage managed-services mix. This is the number that would make the AI-substitution narrative monitorable, and we cannot get it.
7. **Whether the 900-head sequential decline is efficiency-mix or AI price substitution.** Requires rate-per-employee data CTSH does not print. Estimate 60/40 in favour of mix at this stage, from the fact that margin guidance was held at 16.0–16.2% and adjusted EPS was raised — substitution normally shows as margin pressure first.
8. **Total book size (denominator for the 1.25% authorization).** Not in the pack. Estimate: whatever it is, 1.25% is immaterial versus CTSH's daily volume; capacity is a non-constraint.

PRIZE TABLE + VOL READ

Anchored on the adjudicated fair value (\$52–55, \$59 conditional bull) and adjusted from there; horizon runs through the Q3 print (~55 days, $T \approx 0.151$).

Scenario	What happens	p	Price
Substitution confirmed	Q3 misses, guide low end breaks 4%, headcount falls again with margin pressure; re-test of the 52-week low	0.10	\$37
Bookings trend real	Second negative bookings quarter on a clean comp, b:b <1.2x; back to the benches' re-entry gate	0.25	\$46
Base	Guide held, b:b ~1.3x, buyback continues, no narrative resolution either way	0.40	\$55
Clean-comp recovery	Q3 bookings positive on a clean comp, TTM back above \$29.6B, b:b ≥1.4x	0.20	\$59
Re-rate	Above plus explicit AI-services revenue disclosure that reframes the multiple	0.05	\$70

EV = \$52.50 vs spot \$58.61 → -10.4%. Table dispersion $\sigma_{\text{table}} = \7.80 , i.e. **14.9%** of EV. **The table is fork-dated on 2026-10-28 and is genuinely bimodal** — the \$37/\$46 pair (35% combined) and the \$59/\$70 pair (25%) are two different companies, with the \$55 base mostly meaning “no resolution yet.” Do not read the EV as a target; read it as “the left fork is heavier than the price implies.”

Vol read. $IV \times \sqrt{T} = 41.9\% \times 0.389 = 16.3\%$. $RV \times \sqrt{T} = 19.0\%$. $\sigma_{\text{table}} = 14.9\%$. So our own distribution is *narrower* than what the (unverified) implied vol is charging, and realized has been running above implied — **VRP = IV – RV = 41.9 – 49.0 = -7.1 points, i.e. negative: options have been cheap relative to what the stock actually does.**

Expression math — priced off the table itself vs a 41.9%-IV chain, ~55 days:

Strike	$C_{\text{ours}} = \sum p_i \cdot \max(S_i - K, 0)$	Chain-equivalent value @41.9% IV	Verdict
55 call	\$1.55	\$5.97	Ours is worth 26% of the ask — do not buy
60 call	\$0.50	\$3.34	15% — do not buy
65 call	\$0.25	\$1.69	15% — do not buy
52 put (we'd be the seller)	\$3.00	\$1.13	We think the put is worth 2.7x what the chain pays — do not sell

Instrument recommendation = NONE (stock only), and it is the output of the arithmetic above, not a preference. Cheap IV would normally route gated adds into calls — but our table's EV sits *below* spot, so every call we could buy is worth a fraction of its model value to us; buying cheap vol on a distribution centred below the strike is still a losing trade. Rich IV would normally route to premium selling — but our own table prices the \$52 put at nearly 3x the chain, meaning we would be underwriting a downside we think is more likely than the lognormal does, at a negative VRP. Both option legs fail. The gated adds execute as **stock at the limit prices in the entry-bands table.**

Hard caveat on all of the above: no options chain exists in this environment. The 41.9% figure is an unverified aggregate, and per the TSSI lesson (aggregate feed 71 vs chain-level 101) an aggregate IV feed is not a substitute for chain-level midpoint IV and real quotes. **No options position may be initiated on these numbers.** If a chain becomes available, re-run this exact table against chain midpoints before anything is executed.

Tax overlay. No options position, so no expiry-timing problem today — but if one is later proposed, any expiry past 31-Dec-2026 pushes the loss branch into 2027 and is **excluded during a harvest year** unless the edge dominates numerically; a Nov or Dec 2026 expiry keeps the loss branch in the intended year. On the stock: the legacy 90 shares carry a **+41% long-term gain**, so trimming that lot manufactures a taxable gain in a harvest year. Any trim uses **specific-lot identification against the highest-cost added tranche first**, and the legacy lot is not sold for risk management — it is sold only on a thesis break.


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~45% discounted for CTSH's Indian-heritage managed-services mix", "p": 0.5}}, {"item": "Whether the -900 sequential headcount move with attrition 12.3%→13.0% is efficiency-mix or AI price substitution", "instrument": "next 8-K/10-Q headcount + revenue-per-employee series; requires two more quarters to separate", "drainable_now": false, "estimate": {"range": "60/40 in favour of mix over substitution", "basis": "margin guide held 16.0-16.2% and adj-EPS raised to $5.70-5.82; substitution typically shows as margin pressure first", "p": 0.6}}, {"item": "Total book size – the denominator for the adjudicated 1.25% authorization", "instrument": "IBKR account summary / NetLiquidation pull", "drainable_now": false, "estimate": {"range": "immaterial at any plausible size – 1.25% is well under 0.01% of CTSH ADV", "basis": "capacity check on a $29B mega-cap; legacy lot is $5.3k", "p": 0.95}}}]}
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EVENT ADDENDUM — 2026-09-10 18:47Z

ADJUDICATED — HOLD — NO ADD; limit band \$52–55 only after ACN Q4

The thesis's channel-immunity premise is DEAD for project-based IT services: Accenture's management attributed declining bookings to the Middle East conflict and late-quarter discretionary softness (6/18), and Cognizant printed Q2 bookings -6% (7/29). Blue's overturns are accepted: the bookings decline is a comp artifact (the year-ago quarter held two >\$1B deals; the trailing decline is smaller than one of them), the de-rate predates the guide trim and includes Nasdaq-100 deletion flow, and the same print raised adjusted-EPS guidance. Net: fair value \$52–55 against a \$58.6 tape; the Aug court's OWNABLE stands only as a limit band, and the 9/21 flow gate INVERTS here — it expires straight into Accenture's late-September print, so no order rests before that print. The real bear is AI substitution of the labor-arbitrage model (headcount -900 with revenue +4.5%, attrition 12.3→13.0%), which has NO monitorable tripwire — disclosure-basis blindness; carry it named. HOLD the 90 shares (+41%).

GATES: After ACN Q4 FY26 print (late Sept, date unverified): if consulting bookings positive and discretionary attribution withdrawn → limit band \$52–55 for 0.5% (not a market buy) · Q3 10/28: bookings positive YoY AND TTM ≥\$29.6B with book-to-bill ≥1.4x AND cc guide top end ≥6.5% · 10-Q contingency note capping India DDT exposure <\$300M